EQUITY GROUP HOLDINGS LIMITED

EQUITY
Group Holdings Limited

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NAIROBI SECURITIES EXCHANGE LTD.

August 4th 2015

Geoffrey Odundo
The Chief Executive Officer
Nairobi Securities Exchange Limited
The Exchange
55 Westlands Road
P.O Box 43633 – 00100 (GPO)
NAIROBI, KENYA

Dear Sir

RE: UNAUDITTED FINANCIAL STATEMENT OF EQUITY GROUP HOLDINGS LIMITED AND SUBSIDIARIES FOR THE PERIOD ENDED 30TH JUNE 2015

Please find attached the unaudited financial statements for the period ended 30th June 2015 for your information and records.

The same have received the approval of the Central Bank of Kenya and the Group Board of Directors.

Kindly revert to the undersigned incase of any clarification/further information.

Yours faithfully,

Dr. James Mwangi, CBS
Managing Director & CEO

Encls.

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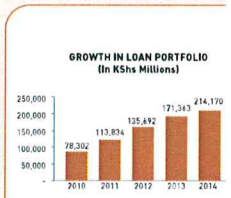
Fax: + 254 020-2711439, **E-mail:** info@equitygroupholdings.com **Website:** www.equitygroupholdings.com
Directors: Peter Munga-Chairman, James Mwangi, Helen Gichohi, John Staley**, Adil Popat, Dennis Aluanga,
Evelyn Rutagwenda**, David Ansell*, Deepak Malik**, Temitope Lawani** (alternate to Dennis Aluanga)
British**, American*, Rwandese**, Indian **, South African**

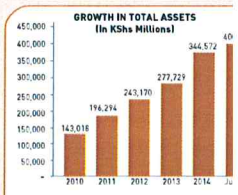
EQUITY GROUP HOLDINGS LIMITED (FORMERLY EQUITY BANK LIMITED)
UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES AS AT 30TH JUNE 2015

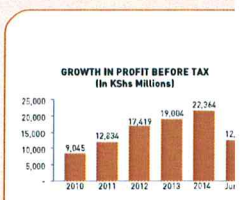
STATEMENT OF FINANCIAL POSITION AS AT	BANK				COMPANY			GROUP CONSOLIDATED			
	30th June 2014 Shs.'000' (Un-Audited)	31st Dec 2014 Shs.'000' (Audited)	31st Mar 2015 Shs.'000' (Un-Audited)	30th June 2015 Shs.'000' (Un-Audited)	31st Dec 2014 Shs.'000' (Audited)	31st Mar 2015 Shs.'000' (Un-Audited)	30th June 2015 Shs.'000' (Un-Audited)	30th June 2014 Shs.'000' (Un-Audited)	31st Dec 2014 Shs.'000' (Audited)	31st Mar 2015 Shs.'000' (Un-Audited)	30th June 2015 Shs.'000' (Un-Audited)
A. ASSETS											
1. Cash (both Local & foreign)	6,910,765	5,213,116	8,372,318	8,330,422	-	-	-	10,501,100	8,440,563	12,101,494	12,725,311
2. Balances due from central Bank of Kenya	8,671,712	6,103,763	11,746,519	8,866,641	-	-	-	8,671,712	6,103,763	11,746,519	8,866,641
3. Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-	-
4. Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-	-	-	-
5.Investment Securities:	**33,880,413**	**34,654,815**	**35,618,234**	**35,875,670**	**-**	**-**	**-**	**45,336,503**	**48,369,008**	**48,911,563**	**50,619,703**
a) Held to Maturity: (a+b)	**22,349,019**	**21,388,050**	**20,712,491**	**21,045,442**	**-**	**-**	**-**	**33,583,144**	**34,890,897**	**33,780,843**	**35,514,993**
a. Kenya Government securities	21,481,119	19,288,900	18,613,541	18,342,651	-	-	-	21,481,119	19,288,900	20,712,691	18,342,651
b. Other securities	867,900	2,099,150	2,099,150	2,702,991	-	-	-	12,102,027	15,601,997	13,068,152	17,172,342
b) Available for sale: (a+b)	**11,531,393**	**13,266,765**	**14,905,543**	**14,830,028**	**-**	**-**	**-**	**11,753,357**	**13,478,111**	**15,130,720**	**15,104,710**
a. Kenya Government securities	11,531,393	13,266,765	14,905,543	14,830,028	-	-	-	11,531,393	13,266,765	14,923,575	14,847,514
b. Other securities	-	-	-	-	-	-	-	221,964	211,346	207,145	257,196
6. Deposits and balances due from local banking institutions	6,688,600	10,166,632	8,859,356	10,666,340	8,417,995	1,752,996	1,752,996	6,729,348	10,166,632	8,899,444	10,671,317
7. Deposits and balances due from banking institutions abroad	5,101,859	6,758,072	11,488,194	10,226,455	-	-	-	15,044,071	23,527,785	29,247,580	34,002,800
8. Tax recoverable	-	-	-	234,784	-	-	-	162,306	123,483	76,758	372,036
9. Loans and advances to customers (net)	165,138,876	187,976,229	195,503,777	205,249,347	-	-	-	186,513,517	214,170,424	224,756,281	236,815,137
10. Balances due from banking institutions in the group	1,690,995	1,039,752	1,666,550	2,109,290	-	164,374	139,005	265,835	188,903	309,837	302,840
11. Investments in associates	1,113,049	-	-	-	-	-	-	1,623,417	-	-	-
12. Investments in subsidiary companies	10,283,689	-	-	-	54,799,197	54,799,197	54,799,197	-	-	-	-
13. Investments in joint ventures	-	-	-	-	-	-	-	-	-	-	-
14. Investment properties	8,494	8,494	8,494	8,494	-	-	-	8,494	8,494	8,494	8,494
15. Property and equipment	6,655,069	7,383,658	8,175,258	8,549,687	-	-	-	9,476,139	10,528,298	11,354,247	11,834,578
16. Prepaid lease rentals	4,068	4,045	4,034	4,022	-	-	-	159,133	106,040	159,774	149,793
17. Intangible assets	2,266,200	2,774,689	2,810,565	3,502,642	-	-	-	3,749,326	3,424,894	4,288,699	5,177,132
18. Deferred tax asset	701,348	2,269,352	2,269,352	2,269,352	-	-	-	763,708	2,573,932	3,098,343	2,457,904
19. Retirement benefit asset	-	-	-	-	-	-	-	-	-	-	-
20. Other assets	11,099,590	11,783,110	14,365,999	22,290,280	-	-	-	13,890,721	16,859,430	17,566,097	26,989,351
21.TOTAL ASSETS	**260,214,926**	**276,115,727**	**300,888,650**	**318,183,426**	**63,217,192**	**56,716,567**	**56,691,198**	**302,915,330**	**344,571,649**	**372,525,130**	**400,993,037**
B. LIABILITIES											
22. Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-	-	-	-
23. Customer deposits	177,468,518	202,484,759	224,626,787	236,401,364	-	-	-	214,534,750	245,383,135	276,754,774	299,696,865
24. Deposits and balances due to Local banking institutions	363,128	199,136	1,412,173	1,306,796	-	-	-	363,128	199,136	1,412,173	1,306,796
25. Deposits and balances due to Foreign banking institutions	-	-	-	-	-	-	-	-	-	-	-
26. Other money market deposits	56,307	336,134	18,414	5,074,000	-	-	-	1,155,037	336,184	-	5,074,000
27. Borrowed funds	27,303,900	29,745,328	25,349,439	22,276,115	-	-	-	29,132,673	29,905,810	26,179,444	22,033,576
28. Balances due to group companies	-	-	-	-	420,000	441,332	846,083	-	-	-	-
29. Tax payable	-	-	1,613,821	-	460,935	460,935	64,737	190,038	462,900	2,210,571	376,267
30. Dividends payable.	28,442	-	-	-	22,677	65,018	24,446	28,442	22,677	65,018	24,446
31. Deferred tax liability	-	-	-	-	-	-	-	-	2,148	1,162	1,162
32. Retirement benefit liability	-	-	-	-	-	-	-	-	-	-	-
33. Other liabilities	3,000,726	3,617,026	3,602,903	5,459,071	-	-	-	4,198,535	4,483,963	4,982,986	7,483,528
34. TOTAL LIABILITIES	**208,221,021**	**236,382,383**	**256,623,537**	**270,517,346**	**903,612**	**967,285**	**935,266**	**249,602,603**	**280,795,953**	**311,606,128**	**335,996,640**
C. SHAREHOLDERS' FUNDS											
35. Paid up/Assigned capital	1,851,388	30,000,000	30,000,000	30,000,000	1,851,388	1,851,388	1,851,388	1,851,388	1,851,388	1,851,388	1,851,388
36. Share premium/ (discount)	12,161,021	9,733,344	9,964,132	9,964,132	12,161,021	12,161,021	12,161,021	12,161,021	12,161,021	12,161,021	12,161,021
37. Revaluation reserve	(754,895)	-	(234,430)	(709,563)	-	-	-	(1,700,707)	(977,286)	(1,307,685)	(1,545,498)
38. Retained earnings/ Accumulated losses	38,157,814	(769,212)	3,766,199	7,642,299	41,636,172	41,736,873	41,743,523	40,267,625	43,054,995	47,248,075	51,556,661
39. Statutory Loan Loss reserve	578,577	769,212	769,212	769,212	-	-	-	733,400	1,020,579	966,203	972,825
40.Other Reserves	-	-	-	-	-	-	-	-	-	-	-
41. Proposed dividends	-	-	-	-	6,664,999	-	-	-	6,664,999	-	-
42. Capital grants	-	-	-	-	-	-	-	-	-	-	-
43. TOTAL SHAREHOLDERS' FUNDS	**51,993,905**	**39,733,344**	**44,265,113**	**47,666,080**	**62,313,580**	**55,749,282**	**55,755,932**	**53,312,727**	**63,775,696**	**60,919,002**	**64,996,397**
44.TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	**260,214,926**	**276,115,727**	**300,888,650**	**318,183,426**	**63,217,192**	**56,716,567**	**56,691,198**	**302,915,330**	**344,571,649**	**372,525,130**	**400,993,037**

STATEMENT OF COMPREHENSIVE INCOME	BANK				COMPANY			GROUP CONSOLIDATED			
1. INTEREST INCOME											
1.1 Loans and advances	13,202,200	-	7,299,680	14,916,088	27,585,823	-	-	14,739,885	30,999,140	8,284,824	16,964,392
1.2 Government securities.	1,574,802	-	846,649	1,735,238	3,281,374	-	-	1,831,477	3,858,292	1,026,427	2,096,336
1.3 Deposits and placements with banking institutions	137,143	-	108,765	245,258	266,774	-	-	187,931	370,503	159,248	136,819
1.4 Other	1,402	-	6,464	13,176	6,052	122,033	161,453	211,729	138,953	231	68,871
1.5 Total Interest income	**14,915,547**	**-**	**8,261,558**	**16,909,760**	**31,140,023**	**122,033**	**161,453**	**16,971,022**	**35,366,888**	**9,470,730**	**19,266,418**
2. INTEREST EXPENSES											
2.1 Customer deposits	1,692,529	-	1,166,460	2,528,520	3,534,022	-	-	2,249,466	4,666,626	1,447,317	3,113,287
2.2 Deposits and placements from banking institutions	7,327	-	20,033	56,927	34,416	-	-	19,610	72,690	47,580	124,170
2.3 Other Interest expense	660,648	-	363,291	664,697	1,412,016	-	-	687,308	1,452,935	357,836	524,591
2.4 Total Interest Expenses	**2,360,504**	**-**	**1,549,784**	**3,250,144**	**4,980,454**	**-**	**-**	**2,956,384**	**6,192,251**	**1,852,733**	**3,762,048**
3. NET INTEREST INCOME	**12,555,043**	**-**	**6,711,774**	**13,659,616**	**26,159,569**	**122,033**	**161,453**	**14,014,638**	**29,174,637**	**7,617,997**	**15,504,370**
4. NON INTEREST INCOME											
4.1 Fees and commissions income on loans & advances	2,293,113	-	1,184,083	2,455,950	4,918,631	-	-	2,438,734	5,214,734	1,299,361	2,653,537
4.2 Other Fees and commissions income	3,377,444	-	1,934,852	3,866,308	7,497,093	-	-	4,223,777	8,841,541	2,420,698	4,864,393
4.3 Foreign exchange trading income	464,302	-	772,604	1,177,008	1,204,900	-	-	1,069,799	2,344,899	1,154,771	1,881,978
4.4 Dividend Income	57,270	-	-	-	900,223	-	-	4,155	104,156	-	-
4.5 Other income.	162,231	-	116,154	262,992	485,978	-	-	582,337	1,968,712	744,887	1,406,218
4.6 Total Non-Interest Income	**6,354,360**	**-**	**4,007,693**	**7,762,258**	**15,006,825**	**-**	**-**	**8,318,802**	**18,474,042**	**5,619,717**	**10,806,126**
5. TOTAL OPERATING INCOME	**18,909,403**	**-**	**10,719,467**	**21,421,874**	**41,166,394**	**122,033**	**161,453**	**22,333,440**	**47,648,679**	**13,237,714**	**26,310,496**
6. OPERATING EXPENSES											
6.1 Loan Loss Provision	370,399	-	218,802	338,575	1,159,054	-	-	517,968	1,590,863	346,121	684,895
6.2 Staff costs	4,118,109	-	1,956,467	4,059,103	8,769,508	-	-	4,984,045	10,775,752	2,464,485	5,125,097
6.3 Directors' emoluments	7,839	-	6,436	15,036	21,152	-	-	17,404	37,855	19,039	36,930
6.4 Rental charges	510,440	-	294,576	590,170	1,067,789	-	-	878,287	1,591,137	478,226	1,001,125
6.5 Depreciation on property and equipment	987,296	-	595,581	1,235,363	2,049,378	-	-	1,221,060	2,637,901	753,994	1,522,964
6.6 Ammortisation charges	206,041	-	184,816	393,440	518,987	-	-	210,154	546,572	191,708	441,938
6.7 Other operating expenses	2,872,157	-	2,082,504	3,872,617	7,448,944	21,333	54,103	3,786,435	9,168,403	2,875,599	5,402,157
6.8 Total Operating Expenses	**9,072,281**	**-**	**5,339,182**	**10,504,304**	**21,054,812**	**21,333**	**54,103**	**11,615,353**	**26,348,483**	**7,129,172**	**14,215,106**
Profit/(loss) before tax and exceptional items	**9,837,122**	**-**	**5,380,285**	**10,917,570**	**20,111,582**	**100,700**	**107,350**	**10,718,087**	**21,300,196**	**6,108,542**	**12,095,390**
Gain on disposal of associate	-	-	-	-	1,667,272	-	-	-	1,063,737	-	-
Exceptional items-share of profit of associate	-	-	-	-	-	-	-	106,253	-	-	-
Profit/(loss) after exceptional items	**9,837,122**	**-**	**5,380,285**	**10,917,570**	**21,778,854**	**100,700**	**107,350**	**10,824,340**	**22,363,933**	**6,108,542**	**12,095,390**
10. Current tax	(2,951,136)	-	(1,614,085)	(3,275,271)	(6,510,867)	-	-	(3,163,669)	(6,843,239)	(1,813,395)	(3,527,174)
11. Deferred tax	-	-	-	-	1,568,003	-	-	-	1,630,671	-	-
12. Profit / (loss) after tax and exceptional items	**6,885,986**	**-**	**3,766,200**	**7,642,299**	**16,835,990**	**100,700**	**107,350**	**7,660,671**	**17,151,365**	**4,295,147**	**8,568,216**
13. Other Comprehensive Income											
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	(314,140)	136,631	(330,399)	(568,212)
13.2 Fair value changes in available for sale financial assets	(24,837)	-	(234,430)	(709,563)	344,921	-	-	(24,837)	344,921	(234,430)	(709,563)
13.3 Revaluation surplus on Property,plant and equipment	-	-	-	-	-	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-	142,148	-	-
14. Other Comprehensive Income for the year net of tax	**(24,837)**	**-**	**(234,430)**	**(709,563)**	**344,921**	**-**	**-**	**(338,977)**	**623,700**	**(564,829)**	**(1,277,775)**
15. Total comprehensive income for the year	**6,861,149**	**-**	**3,531,770**	**6,932,736**	**17,180,911**	**100,700**	**107,350**	**7,321,694**	**17,775,065**	**3,730,318**	**7,290,441**

OTHER DISCLOSURES	BANK				COMPANY			GROUP CONSOLIDATED			
1) NON PERFORMING LOANS AND ADVANCES											
a) Gross non performing loans and advances	6,935,065	7,469,299	8,037,479	8,662,654	-	-	-	8,863,839	9,343,596	10,058,970	10,862,262
b) Less Interest in suspense	1,697,235	1,792,184	1,980,070	2,218,182	-	-	-	1,839,457	1,993,988	2,199,245	2,467,234
c) Total Non-Performing loans and advances (a-b)	**5,237,830**	**5,677,115**	**6,057,409**	**6,444,472**	**-**	**-**	**-**	**7,024,382**	**7,349,608**	**7,859,725**	**8,395,028**
d) less Loan loss provision	2,875,579	3,204,272	3,242,486	3,242,486	-	-	-	3,469,722	4,028,980	4,161,970	4,324,765
e) Net non- performing loans(c-d)	2,362,251	2,472,843	2,814,923	3,201,986	-	-	-	3,554,660	3,320,628	3,697,755	4,070,263
f) Discounted value of securities	2,028,502	2,006,848	2,332,870	2,740,604	-	-	-	3,220,911	2,854,633	3,215,702	3,608,881
g) Net NPLs Exposure (e-f)	**333,749**	**465,995**	**482,053**	**461,382**	**-**	**-**	**-**	**333,749**	**465,995**	**482,053**	**461,382**
2)INSIDER LOANS AND ADVANCES											
a) Directors, shareholders and associates	710,489	1,150,610	1,066,148	480,441	-	-	-	710,489	1,150,610	1,066,148	480,441
b)Employees	4,993,874	5,852,490	6,196,204	6,321,168	-	-	-	5,341,720	6,280,775	6,604,428	6,640,700
c) Total insider Loans and Advances and other Facilities	**5,704,363**	**7,003,100**	**7,262,352**	**6,801,609**	**-**	**-**	**-**	**6,052,209**	**7,431,385**	**7,670,576**	**7,121,141**
3)OFF BALANCE SHEET ITEMS											
a) Letter of Credit, guarantees, acceptances	17,765,100	19,966,165	19,378,356	21,574,034	-	-	-	20,323,718	23,074,076	22,311,551	24,230,569
b) Forwards, Swaps and Options	19,318	3,583	87,425	31,368,141	-	-	-	392,975	3,583	87,425	31,368,141
c) Other contigent Liabilities	3,659,369	3,911,635	4,095,570	1,028,838	-	-	-	3,659,369	3,911,635	4,095,570	1,028,838
d) Total contigent Liabilities	**21,443,787**	**23,881,383**	**23,561,351**	**53,971,013**	**-**	**-**	**-**	**24,376,062**	**26,989,294**	**26,494,546**	**56,627,548**
4) CAPITAL STRENGTH											
a) Core Capital	38,201,593	39,733,344	41,847,231	43,785,281							
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000							
c) Excess/ (defficiency)	**37,201,593**	**38,733,344**	**40,847,231**	**42,785,281**							
d) Supplementary capital	7,810,494	6,818,642	6,212,474	5,853,408							
e) Total Capital (a+d)	**46,012,087**	**46,551,986**	**48,059,706**	**49,638,689**							
f) Total Risk Weighted Assets	**270,724,029**	**268,517,818**	**285,595,971**	**299,143,558**							
RATIOS											
g) Core Capital/ Total Deposit Liabilities	21.5%	19.6%	18.5%	18.4%							
h) Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%							
i) Excess / (defficiency) (g-h)	**13.5%**	**11.6%**	**10.5%**	**10.4%**							
j) Core Capital/ Total Risk Weighted Assets	14.1%	14.8%	14.7%	14.6%							
k) Minimum statutory Ratio	10.5%	10.5%	10.5%	10.5%							
L) Excess / (defficiency) (j-k)	**3.6%**	**4.3%**	**4.2%**	**4.1%**							
m) Total Capital/ Total Risk Weighted assets	17.0%	17.3%	16.8%	16.6%							
n) Minimum statutory Ratio	14.5%	14.5%	14.5%	14.5%							
o) Excess / (defficiency) (m-n)	**2.5%**	**2.8%**	**2.3%**	**2.1%**							
5) LIQUIDITY											
a) Liquidity Ratio	34.0%	30.4%	32.9%	28.0%							
b) Minimum statutory Ratio	20.0%	20.0%	20.0%	20.0%							
c) Excess / (defficiency) (a-b)	**14.0%**	**10.4%**	**12.9%**	**8.0%**							







These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statu and qualitative disclosures can be accessed on the institutions website www.equitygroupholdings.com

They may also be accessed at the institutions head office located at Equity Centre, 9th floor, Hospital Road Upper Hill.

Signed: Dr. JAMES MWANGI, CBS
CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR

Signed: Mr. PETER K. MUNGA, CBS
CHAIRMAN

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Equity Group Holdings Limited is regulated by the Central Bank of Kenya